

them were equally appropriate to my own business, in that they could be applied at least as well as to optimizing the selection of investments as to matters internal to the Dow Chemical Company. One of these was “Never promote someone who hasn't made some bad mistakes, because if you do, you are promoting someone who has never done anything.” The failure to understand this element by so many in the investment community has time and again created unusual investment opportunities in the stock market.

The truly worthwhile accomplishment in the business world nearly always requires a considerable degree of pioneering, in which ingenuity has to be seasoned with practicality. This is particularly true when the gains are sought through leading edge technological research. No matter how able the people are and no matter how good may be most of their ideas, there are times when such efforts are bound to fail, and fail dismally. When this happens and the current year's earnings drop sharply below previous estimates as the costs of the failure are added up, time and again the investment community's immediate consensus is to downgrade the quality of the management. As a result, the immediate year's lower earnings produce a lower than the historic price earnings ratio to magnify the effect of reduced earnings. The shares often reach truly bargain prices. Yet if this is the same management that in other years has been so successful, the chances are the same ratio of average success to average failure will continue on in the future. For this reason, the shares of companies run by abnormally capable people can be tremendous bargains at the time one particular bad mistake comes to light. In contrast, the company that doesn't pioneer, doesn't take chances, and merely goes along with the crowd is liable to prove a rather mediocre investment in this highly competitive age.

The other of Dr. Dow's comments which I have tried to apply to the process of investment selection is “If you can't do a thing better than others are doing it, don't do it at all.” In this day of heavy-handed government intervention in so many types of business activities, of high taxes and labor unions, and of rapid shifts in public taste from one product to another, it seems to me that the risk of common stock ownership is seldom warranted unless it is confined to companies with enough competitive spirit constantly to be trying and frequently succeeding in doing things in a manner superior to industry in general. In no other way are profit margins usually broad enough to meet the demands of growth. This is, of course, particularly true